

Test Yourself

Macroeconomics

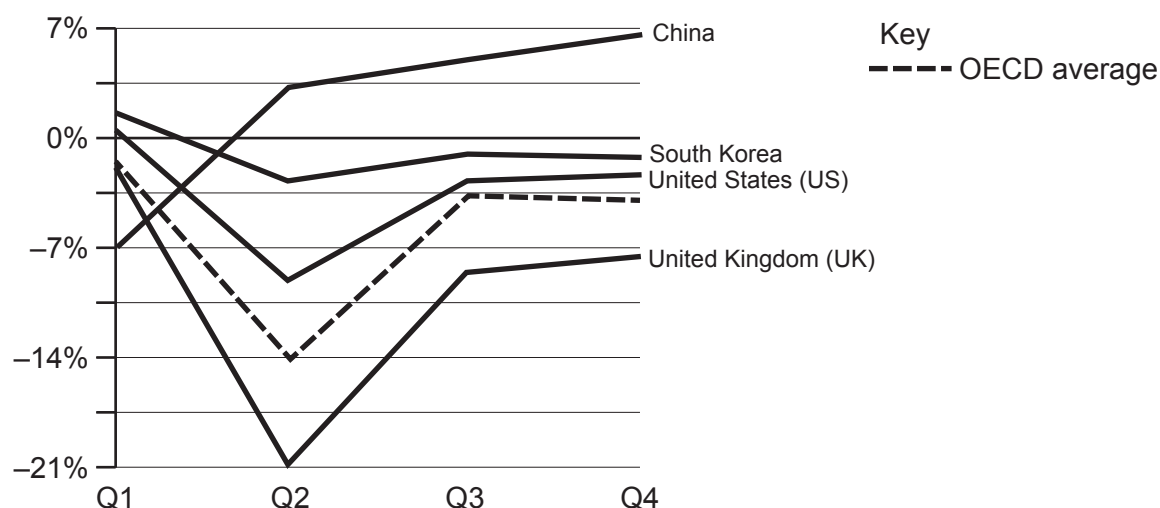
Economic Growth

Section A

Varied responses to the COVID-19 pandemic

9708/23/O/N/23

The COVID-19 pandemic had a very significant impact on the global economy in 2020. Negative economic growth rates were recorded for all major economies. The speed, unexpected and unprecedented nature of the downturns has been devastating for businesses, governments and populations. Individual economies reacted to the pandemic differently. Fig. 1.1 shows quarterly economic growth rates in 2020 for four selected countries compared to the OECD (Organisation for Economic Co-operation and Development) average.



Source: OECD, 2021

Fig. 1.1 Annual change to quarterly gross domestic product (GDP) in selected countries in 2020 compared to the OECD average.

China's economic performance in 2020 was the exception. China was the first country to experience the pandemic. It has also been the first economy to recover from recession, a period of two consecutive quarters of negative economic growth. The Chinese government was quick to enforce lockdowns to limit the pandemic and there was rapidly increasing demand for exports of PPE (personal protection equipment) and other Chinese-made products.

The case of neighbouring South Korea was different. Like China, the impact of the pandemic was more effectively contained than in other economies and growth in South Korea's economy was less affected. There was, however, little evidence in the data that by the end of 2020, South Korea's economy would recover to its pre-2019 position of strong economic growth.

The economies of the US and the UK had negative quarterly economic growth throughout 2020. Economists in these countries have disagreed about how best to increase the rate of economic growth after the pandemic. The governments of both countries introduced very high government spending programmes to encourage the return to economic growth in 2021. However, monetary policies have been widely promoted by many economists as an alternative to more traditional fiscal measures.

Source: OECD

- (a) Explain the meaning of 'negative economic growth'. [2]
- (b) Which country shown in Fig. 1.1 experienced the most severe recession in 2020? Justify your answer. [2]
- (c) State **two** likely economic reasons why China experienced strong economic growth starting in the second quarter of 2020 and consider which of these is likely to have generated the greater rate of growth. [4]
- (d) Assess how economic recovery is likely to have affected employment and price stability in China. [6]
- (e) Assess whether monetary policies are the best way for high-income countries such as the US and the UK to produce an economic recovery. [6]

Section B

Duration of each question is **40 mins**

1. Assess whether the consequences of economic growth for an economy are always positive. (12) **q4b/22/F/M/23**
2. With the help of an aggregate demand and aggregate supply diagram, explain how a decrease in interest rates could cause economic growth **and** consider whether economic growth will always result in inflation. (8) **q5a/22/F/M/24**
3. Assess whether economic growth is always desirable for an economy. (12) **q5b/22/F/M/24**
4. Assess whether supply-side policy is the most effective way to achieve long-run economic growth. (12) **q4b/22/M/J/24**
5. Explain **two** possible causes of economic growth **and** consider whether the consequences of economic growth for an economy will always be positive. (8) **q4a/21/O/N/24**

Section C

Duration 46 mins

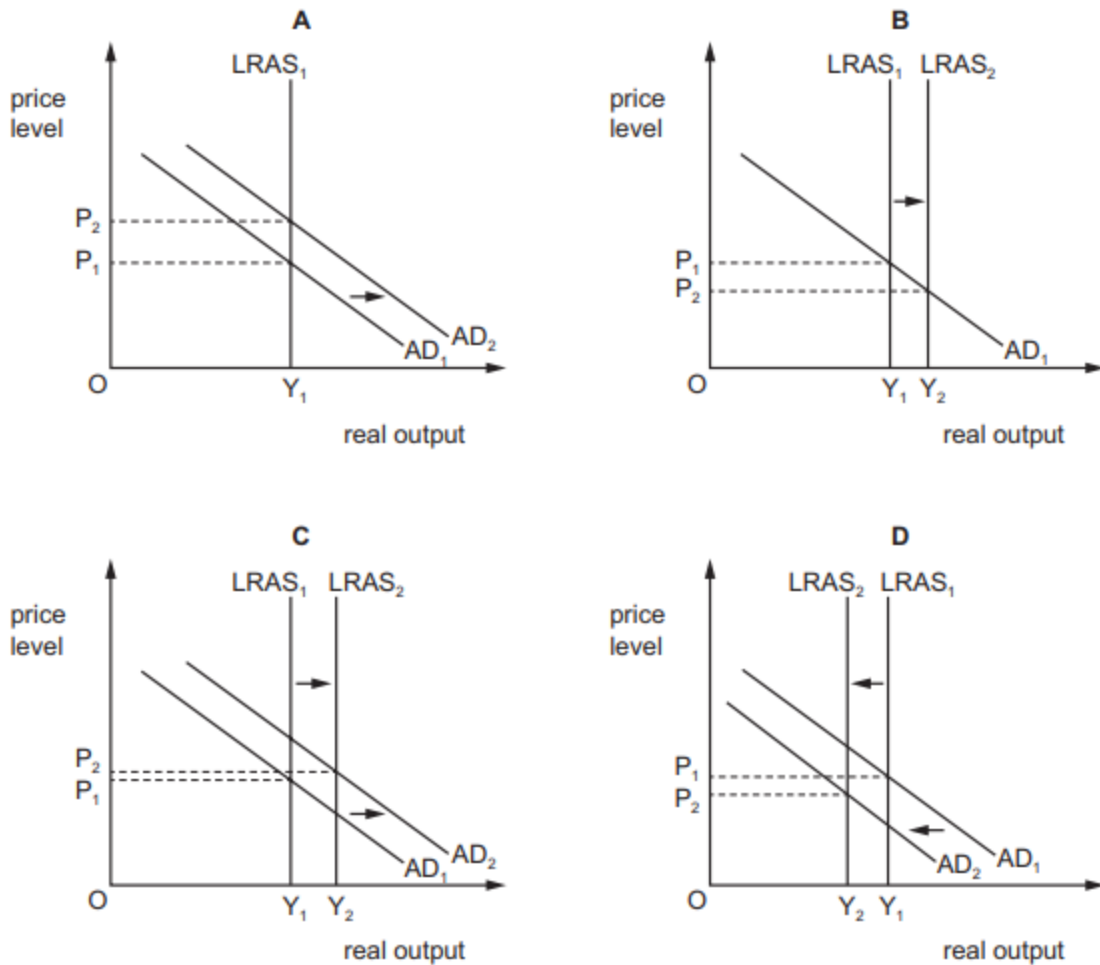
1. The real national income of a country fell by 3%.
What could have caused this?
 - A Money national income fell by 3% when the rate of inflation was 6%.
 - B Money national income fell by 6% when the rate of inflation was 3%.
 - C Money national income rose by 3% when the rate of inflation was 6%.
 - D Money national income rose by 6% when the rate of inflation was 3%.

2. What would be a positive effect on the growth of an economy in the short run, if the government reduced a direct tax on individual earnings?
 - A food prices would increase due to shortages
 - B imports of luxury cars would increase to satisfy a change in demand
 - C savings would increase due to additional disposable income
 - D the consumption of domestically produced goods would increase

3. Which type of policy would have the most immediate effect in dealing with a deflationary economic downturn?
 - A increasing the government's budget surplus
 - B increasing borrowing by assisting banks to lend more
 - C investing in long-term projects to improve transport networks
 - D switching the burden of taxation from earning to spending

4. I A government plans to increase spending on education and training every year.

Which diagram shows the likely effect of this increase on the economy's long-run output and price level?



5. The table shows a country's total output and its average price in each of three years.

year	output (millions)	price (\$)
1	10	20
2	12	24
3	13	26

What can be concluded about output?

- A** Nominal output and real output increased at the same rate.
- B** Nominal output rose at a faster rate than real output.
- C** Nominal output rose at an increasing rate.
- D** Real output rose at a constant rate.

6. The table shows selected information from a country's national accounts.

	\$ billion
GDP	28
net property income from abroad	-3
capital consumption	6
national debt	2

What is the country's net national income?

- A** \$19 billion **B** \$25 billion **C** \$31 billion **D** \$33 billion

7. The table shows GDP indices for a country over a three-year period.

	year 1	year 2	year 3
real GDP	100	105	106
money GDP	100	107	115

Inflation and economic growth are two macroeconomic policy objectives.

Which row gives a correct assessment of the country's achievement of these two objectives over the period?

	rate of inflation	rate of economic growth
A	cannot tell	positive
B	declining	cannot tell
C	positive	declining
D	rising	negative

8. What is used to convert nominal GDP to real GDP?

- A** exchange rates
B changes in the price level
C interest rates
D taxation

9. Economic growth leads to increased levels of income and consumption per capita for the adult population.

Which circumstances are needed for this to happen in an economy?

- A a change in technology that maintains the same level of output
- B an increase in economic efficiency through higher productivity of factor inputs
- C a policy of progressive taxation to reduce inequalities
- D a rise in the size of the working population due to immigration

10. The table gives data for an economy.

	2010	2011	2012	2013	2014
Gross Domestic Product (GDP) at current prices (\$ billion)	200	220	240	300	320
GDP deflator (price index)	100	109	125	149	154

In which year did real GDP decline compared with the previous year?

- A 2011 B 2012 C 2013 D 2014

11. In year 1, a country's real GDP was \$500 billion. In year 2, nominal GDP rose to \$577.5 billion and the prices increased by 5%.

What is the real GDP in year 2?

- A \$4.76 billion B \$5 billion C \$476 billion D \$550 billion

12. What is **not** included in the measurement of national income?

- A benefits paid to the unemployed
- B dividends paid to shareholders
- C profits retained by companies
- D rent paid to landlords

13. Under which conditions will nominal GDP and real GDP increase at the same rate in an economy?

	rate of change of national output (% per annum)	rate of change of general price level (% per annum)
A	0	-2
B	0	+2
C	+2	0
D	+2	+2

14. For a given year, economy X publishes the following.

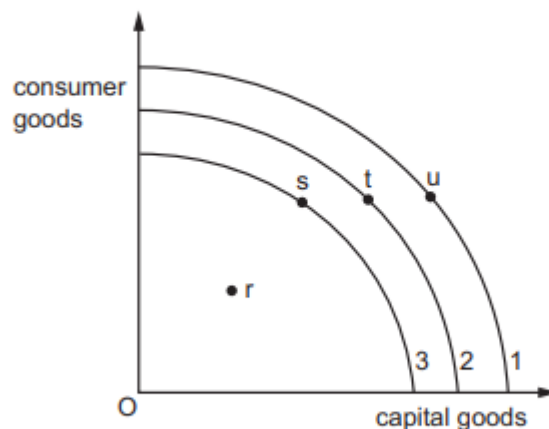
	\$bn
Gross Domestic Product (GDP)	100
factor income earned by residents of economy X working in foreign countries	10
factor income earned in economy X by non-residents	25

What is the size of the Gross National Income (GNI) for country X?

- A** \$75bn **B** \$85bn **C** \$110bn **D** \$115bn

15. The diagram shows three production possibility curves (PPC) for a country, labelled 3, 2 and 1. The original PPC for the country is 2.

This country experiences a fall in its working population and then this is followed by a long period of recession.



If an increase in GDP then takes place, what is the increase in production?

- A** r to s **B** r to u **C** s to t **D** t to u

16. The table shows real GDP expressed as an index number in each quarter of 2021.

2021	index of GDP in real terms (2020 = 100)
Q1	99.4
Q2	99.3
Q3	100.1
Q4	100.4

What can be concluded from the table?

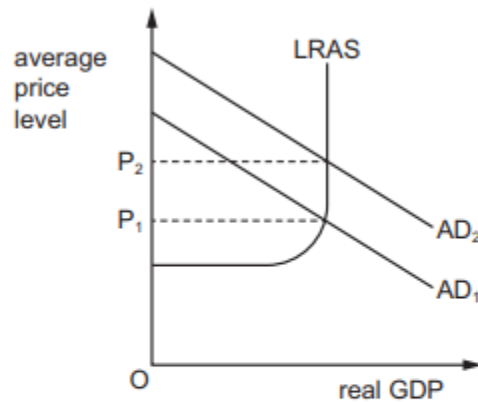
- A** Inflation reduced the real value of GDP in the first six months of 2021.
- B** Real GDP was lower at the end of 2021 than 2020.
- C** The economy was in recession at the end of the first six months of 2021.
- D** The standard of living was higher at the end of 2021 than in 2020.

17. A country's net national income (NNI) is less than its gross national income (GNI).

What does this mean?

- A** incomes earned overseas were less than incomes sent overseas
- B** inflation has been accounted for in NNI but not in GNI
- C** the country's exports decreased
- D** there has been a net depreciation in the value of the country's fixed capital assets

18. The diagram shows the effect on the average price level when aggregate demand (AD) increases from AD_1 to AD_2 .



Which statement relating to this change in aggregate demand is correct?

- A Nominal GDP has increased.
 - B Nominal GDP is unchanged.
 - C Real GDP has increased.
 - D Real GDP has fallen.
19. What is a cost of negative economic growth?
- A deteriorating balance of payments
 - B higher inflation
 - C higher unemployment
 - D increased pollution
20. A country with a constant population experiences a 5% increase in its nominal GDP during a year.
- In which situation will average living standards be most likely to have increased during the year?
- A if government takes action to ensure there is no increase in unemployment
 - B if inflation during the year is 3%
 - C if there is no increase in real national income
 - D if there is no redistribution of income

21. The central bank of a country raises interest rates to reduce the general price level.

When is this policy likely to have the biggest impact?

	position of the economy on its production possibility curve (PPC) diagram	responsiveness of aggregate demand to interest rate changes
A	below the PPC	high
B	below the PPC	low
C	on the PPC	high
D	on the PPC	low

22. Which items have to be added to and subtracted from Gross Domestic Product at market prices to calculate the value of Gross Domestic Product at basic prices?

- A** capital consumption and net property income from abroad
- B** expenditure taxes and capital consumption
- C** net property income from abroad and subsidies
- D** subsidies and expenditure taxes

23. A country subsidises domestic production of manufactured goods.

What is the most likely outcome?

- A** a rise in economic growth
- B** a rise in imports of manufactured goods
- C** a rise in the rate of inflation
- D** a rise in unemployment

MARKING SCHEME

SECTION A

Question	Answer	Marks
Follow the point-based marking guidance at the top of this mark scheme.		
1(a)	Explain the meaning of ‘negative economic growth’. - It is a decrease/fall in national income/output (1) as measured by: - GDP/RGDP/GNP (1) - A movement within a correctly labelled PPC (if drawn) or a shift within it (1)	2
1(b)	Which country shown in Fig. 1.1 experienced the most severe recession in 2020? Justify your answer. - UK (1) because - It had the biggest percentage fall in GDP (1) - The other three economies performed consistently better than the OECD average (1)	2
1(c)	State <u>two</u> likely economic reasons why China experienced strong economic growth starting in the second quarter of 2020 and consider which of these is likely to have generated the greater rate of growth. Plausible reasons could include: - The increased demand for exports of PPE (1) - First to experience Covid and therefore the first to recover from it due to e.g., the speed of enforcing lockdowns. (1) - Successful government policies – one mark per stated policy e.g., fiscal, and monetary policies (1) Up to two marks for explaining why one of the stated reasons is likely to have generated the greatest growth. (1+1)	4
1(d)	Assess how economic recovery is likely to have affected employment and price stability in China. Up to 4 marks for explanation/analysis: - How a recovery may increase the components of AD i.e., $C + G + I + X - M$ and how this may increase the level of employment (up to 2 marks) - The possible impact on price stability which will depend on e.g., the position on the AS curve, the possibility of cost-push inflationary pressure (up to 2 marks). Up to 2 marks for evaluation: - The effects on employment and price stability will depend on the speed and the size of the recovery (1) - For a justified conclusion (1)	6

Question	Answer	Marks
1(e)	Assess whether monetary policies are the best way for high-income countries such as the US and the UK to produce an economic recovery. Up to 2 marks for an analysis of the uses of monetary policy: • An explanation of what monetary policy consists of • How an expansionary monetary policy can be used to produce an economic recovery based on an increase in AD e.g., through reducing interest rates, increasing money supply e.g., through relaxing credit restrictions. • Increasing price competitiveness of exports due to a fall in the exchange rate. Up to 2 marks for an analysis of the drawbacks of monetary policy: • Expansionary monetary policy may cause inflation. • It depends upon consumer and business confidence and receptiveness towards reductions in interest rates. • The possible effects on the cost of imports due to a fall in the exchange rate. • Impact of time lags. Up to 2 marks for evaluation: • The degree of interest sensitivity on components of AD • The impact of such policies is uncertain. • Possible use of alternative policies • Reserve 1 mark for a justified conclusion	6

SECTION B

Question	Answer	Marks
1	Assess whether the consequences of economic growth for an economy are always positive. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - The positive consequences of economic growth: an improvement in the standard of living, a reduction in the rate of unemployment, an increase in incomes, an increase in the level of aggregate demand, a possible reduction in income inequality, higher tax revenues which a government could spend on improving public services (such as education and healthcare), and an increase in business confidence leading to greater investment. - The negative consequences of economic growth: a possible depletion of non-renewable natural resources and damage to the environment, such as through various types of pollution, an unequal sharing of the benefits of economic growth among a population leading to an increase in income inequality and a possible reduction in the quality of life of people through longer working hours and a reduction in the amount of leisure time, plus a shift towards more capital-intensive production. Answers may also refer to the dangers of inflationary pressure. A one-sided response can only gain a maximum of Level 2. AO3 Evaluation Points to consider may include: - The degree to which the potential benefits of economic growth are equally shared among a population. - The extent to which any shift towards more capital- intensive production affects the level of unemployment - Whether long-term economic growth brings about a short-term cost as resources are used to produce capital goods rather than consumer goods - The extent to which the economic growth is sustainable - Which leads to a justified conclusion on whether the consequences of economic growth for an economy are always positive A one-sided response cannot gain any marks for evaluation. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
2	With the help of an aggregate demand and aggregate supply diagram, explain how a decrease in interest rates could cause economic growth <u>and</u> consider whether economic growth will always result in inflation. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) A clear understanding of what is meant by: • economic growth (1) • inflation (1) • interest rates (1) • through an accurate diagram, correctly labelled axes, and equilibrium price level and real GDP (1). AO2 Analysis (max 3 marks) Uses the diagram(s) to explain how a decrease in interest rates will impact on saving/borrowing (1) that cause will either cause an increase in consumption/investment/next exports (1) which causes an increase in economic growth/real GDP (1). AO3 Evaluation (max 2 marks) One mark for a valid explanation that rise in inflation assumes that the economy is operating at full capacity; the growth may be focused on capital intensive industries (1) or that the source of the growth may be long term in nature (1). The second mark is for a justified conclusion.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
3	Assess whether economic growth is always desirable for an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The meaning of the term economic growth. • An explanation of the potential benefits of economic growth for an economy – higher incomes, reduction in unemployment, improved government finances, increased international competitiveness, increases in both consumer and business confidence, increased life expectancy. • An explanation of the costs of economic growth for an economy – inflation, current account deficits, inequality, pollution. AO3 Evaluation • Consideration that fully assesses the relative perspectives of economic growth for an economy and arrives at a reasoned conclusion concerning which viewpoint (or otherwise) is most likely. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
4	Assess whether supply-side policy is the most effective way to achieve long-run economic growth. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Long-run economic growth is likely to need both growth of AD and AS • Analysis of the role of supply side policy in achieving long-run economic growth and its advantages and disadvantages. E.g., supply side policy such as training and education is more likely to increase AS, but this can also lead to an increase in AD, for example as better training leads to an increase in income and therefore an increase in consumer spending. It is also less likely to result in inflation. However, it is costly and will take time. • Analysis of the extent to which supply side policy can lead to growth in both AD and AS. For an explanation that a problem with supply side policy is that it is less effective in directly increasing the level of AD. • Analysis of at least one alternative policy e.g., fiscal policy or monetary policy and how they may achieve long-run economic growth, together with their advantages and disadvantages e.g., fiscal policy such as a reduction in income tax is more likely to increase AD and can be relatively quick. It may also indirectly lead to an increase in AS if more people are encouraged to enter the workforce. However, if AS does not increase, it may be inflationary. It may also reduce the amount available for government spending. • Analysis of the extent to which these policies can lead to growth in both AD and AS. For an explanation that a problem with such policies is that they are less effective in directly increasing the level of AS. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question.	12

Question	Answer	Marks
	AO3 Evaluation - Requires an assessment of at least one other government policy to be compared against supply side policy in achieving long-run economic growth which leads to - A justified conclusion as to whether supply side policy is the most effective way to achieve long-run economic growth or whether a different policy / combination of policies may be more successful that takes into account the advantages and disadvantages of such policies in increasing both AS and AD. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
5	Explain <u>two</u> possible causes of economic growth <u>and</u> consider whether the consequences of economic growth for an economy will always be positive. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) A knowledge and understanding of what is meant by economic growth (1) and two possible causes of economic growth, such as: • an increase in the number of workers • an improvement in the quality of workers, e.g. in terms an increase in education and/or training • a greater commitment to research and development • an improvement in the state of technology • investment in capital stock • increased mobility/flexibility of factors of production • development of new export markets. (Up to 2 marks) AO2 Analysis (max 3 marks) An analysis of the possible consequences of economic growth for an economy, both positive and negative, such as: • leads to an increase in the standard of living • could lead to a decrease in unemployment • may lead to a depletion of resources and to environmental damage • there could be a reduction in the quality of life, e.g. less leisure time. AO3 Evaluation (max 2 marks) Offers a valid judgement on whether the consequences of economic growth for an economy will always be positive (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

SECTION C

1.	C	11.	D	21.	C
2.	D	12.	A	22.	D
3.	B	13.	C	23.	A
4.	C	14.	B		
5.	B	15.	A		
6.	A	16.	C		
7.	C	17.	D		
8.	B	18.	A		
9.	B	19.	C		
10.	B	20.	B		